

- The traditional accounting measures of personal financial net worth and equity, which is computed as the value of assets minus the value of liability.
- Even though you might have very little if any financial equity, you are wealthier than you think. In fact, you probably have an asset worth millions of dollars. It's called human capital. Think of it as the “nest embryo” which will eventually become your “nest egg.”
- As you age you convert human capital into financial capital. Your total capital, which is the sum of both types of capital, should be increasing over time.
- Depending on how risky your job is, you may think of your human capital as a stock or as a bond or some combination in between. This analogy will come in handy later, when we talk about comprehensive asset allocation—considering both your human and financial capital—over the life cycle.
- In particular, individuals who expect to receive little or no income from a defined benefit pension plan must be even more careful to manage the conversion of their human capital into financial capital so that they secure a smooth income stream over their entire life cycle.

Endnotes

Modigliani (1986) describes his path-breaking research that led to his Nobel prize, as well as how he developed the life cycle hypothesis. The book by Becker (1993), yet another Nobel laureate, contains a number of his pioneering articles on the economic returns to human capital investment. Bodie, Merton, and Samuelson (1992) wrote the first formal article within financial economics to treat human capital as an asset class that can be primarily treated as a bond. The monograph by Ibbotson, Milevsky, Chen, and Zhu (2007) provides a more technical and mathematical analysis of the value of human capital, in addition to a number of actual case studies and examples that expand on the ideas in this chapter and the next one. Lee and Hanna (1995) wrote another early and relevant paper on how to think about human capital within the context of financial planning. Finally, the book by Lleras (2004) is an accessible book on the international returns to investing in human capital.